STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules, and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	Case 23-G-0225
Proceeding on Motion of the Commission as to the Rates, Charges, Rules, and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service	Case 23-G-0226

REBUTTAL TESTIMONY

OF THE

UIU RATE ADJUSTMENT MECHANISM PANEL

Dated: September 22, 2023

UTILITY INTERVENTION UNIT
DIVISION OF CONSUMER PROTECTION
NYS DEPARTMENT OF STATE
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INTRODUCTION AND QUALIFICATIONS

Q. Members of the Utility Intervention Unit (UIU) Rate Adjustment Mechanism (RAM) Panel, referred to as the UIU RAM Panel, please state your names, employer, and business address.

A. Our names are Pooja Oberoi and Michael Augstell.

Q. Ms. Oberoi, please state your title and business address.

A. I am employed as a Program Associate with the UIU of the New York State Department of State's Division of Consumer Protection. My business address is 123 William St., New York, NY, 10038.

Q. Ms. Oberoi, please briefly summarize your qualifications and professional experience.

A. I graduated from the University of Delhi in Delhi, India, with a Master's degree in Commerce. I received a Master of Science degree in Accounting and Finance from Keller Graduate School of Management of DeVry University in New York. I am a Certified Public Accountant licensed in the State of New York. I joined UIU in March 2023. Previously, I was working as a Utility Auditor 2 with the New York State Department of Public Service (DPS) from October 2016 to February 2023.

Q. Please briefly describe your current responsibilities with UIU.

A. I analyze regulatory policies and utility rate cases to determine the effect on consumer's supply and cost of electricity, natural gas, water, wireless and

broadband telecommunications, and other utilities. I also oversee UIU projects related to utility regulation in New York. I perform comprehensive research and analysis of testimony and exhibits submitted by regulated companies and stakeholders, using information from audits, written New York State Department Public Service Staff (DPS Staff) information requests, testimony in other cases, prior New York State Public Service Commission (Commission) orders, statutes, publications, and other sources. I also review market conditions and industry trends and make recommendations on appropriate modifications to rate structures or service changes.

Q. Have you previously testified and/or been involved in negotiations before the Commission?

A. Yes, I testified before the Commission in Central Hudson Gas & Electric Corporation (Central Hudson), Cases Number 17-E-0459 and 17-G-0460.

Q. Mr. Augstell, please state your title and business address.

A. I am also employed as a Program Associate with UIU, and my business address is 99 Washington Avenue, Suite 640, Albany, New York 12231-0001.

Q. Please describe your educational background and professional experience.

A. I received a Bachelor of Arts in Economics from the University of Rochester in 1992. After graduating, I worked in commercial loan banking and thereafter as a financial analyst for General Electric Power Systems. I was then employed at

Urbach Hacker Young (UHY) LLP in Albany, New York, for five years. While there, I worked in the Valuation and Litigation Services department, conducting business valuations, financial analysis and forensic accounting, and class action claim administration. After UHY LLP, I served as a Principal Utility Financial Analyst at DPS for 17 years. At DPS, I worked on rate cases, financing proposals, and special projects, which involved analyzing the financial condition, financing mechanisms, risk, cost of debt, cost of equity, diversification, and relative business positions of utilities and their holding company parent. I recently joined UIU, in February 2023.

Q. Please briefly describe your current responsibilities with UIU.

A. I analyze regulatory policies and utility rate cases for the purpose of determining the effect on consumer's supply and cost of electricity, natural gas, water, wireless and broadband telecommunications, and other utilities. I oversee UIU projects related to utility regulation in New York and independently plan and conduct investigations and reviews of policy and rate issues in investigation dockets before the PSC. Additionally, I perform analysis of utility revenue requirements such as cost of service, depreciation, economic studies, and cost of capital analyses.

Q. Have you previously testified in a proceeding before the Commission?

A. Yes. I have testified in numerous cases throughout my career, including Cases 07-E-0523 and 07-S-1315, Consolidated Edison Company of New York, Inc.; Cases 07-E-0949, 08-G-1398, and 10-E-0362, Orange and Rockland Utilities, Inc.; Case

09-W-0731, United Water New York, Inc.; Case 09-W-0824, United Water New Rochelle, Inc.; Case 11-G-0280, Corning Natural Gas Corporation; Case 12-M-0192, Fortis Inc. and CH Energy Group – Merger; Case 14-W-0006, United Water Westchester Inc. and United Water New Rochelle Inc. – Merger; Case 16-G-0257, National Fuel Gas Distribution Corporation; Cases 17-E-0238 and 17-G-0239, Niagara Mohawk Power Corporation d/b/a National Grid (NIMO); Case 18-G-0133, St. Lawrence Gas Company Inc.; Case 18-G-0140, the acquisition of St. Lawrence by Liberty Utilities Company; Cases 19-E-0378 and 19-G-0379, New York State Electric & Gas Corporation (NYSEG); Cases 19-E-0380 and 19-G-0381, Rochester Gas and Electric Corporation (RG&E) and Cases 20-E-0380 and 20-G-0381, NMPC.

Q. What is the purpose of the UIU RAM Panel's rebuttal testimony in these proceedings?

A. The purpose of our testimony is to comment on DPS Staff's position regarding the RAM as proposed by Brooklyn Union Gas Company dba National Grid NY (KEDNY) and KeySpan Gas East Corporation dba National Grid (KEDLI) (together, the Companies).

Q. In your rebuttal testimony, does the UIU RAM Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of these proceedings?

A. Yes, we have referred to and relied upon the Companies' response to Staff's Information Request (IR) 433. This response is contained in our Exhibit__(UIU-

RAM-1).

DISCUSSION

Q. Describe the Companies' proposed RAM.

A. The RAM would allow the Companies to recover existing reconciliations, and the associated deferral amounts booked from January 1, 2023, through March 31, 2024. The collection for the RAM would begin on June 1, 2024.

Q. What is the DPS Staff's position on the proposed RAM by the Companies?

A. As stated on page 20 of DPS Staff's Policy Panel, DPS Staff does "not agree that implementing a RAM is appropriate in the context of a one-year rate proceeding."

Q. Do you agree with DPS Staff?

A. Yes, we agree that a RAM should not be implemented in a one-year rate plan.

Q. Are there any recommendations that DPS Staff is proposing in the event the Commission approves the implementation of a RAM?

A. Yes, DPS Staff is recommending that in the event the Commission adopts a RAM, the reconciled items be limited to the existing property tax deferral, Energy Affordability Program (EAP) deferral, and incremental energy efficiency program costs. Additionally, should the Commission implement a RAM cap, DPS Staff recommends that "a cap of 2.5 percent of total revenues is reasonable in the absence of other caps on specific reconciliations."

Q. Do you agree with DPS Staff's recommendation to the Commission regarding the Companies' proposed RAM?

A. No. DPS Staff alternatively recommends on page 21 of their Policy Panel testimony, if the Commission authorizes a RAM, that a cap of 2.5 percent on total revenues for KEDNY and KEDLI would be reasonable. We disagree with any consideration of a RAM and thus disagree with that aspect of Staff's proposal. The revenue increases proposed by Staff in their Revenue Requirements Panel testimony is $389.5 million for KEDNY (Exhibit__(SRRP-1), at 1) and $219.9 million for KEDLI (Exhibit__(SRRP-2), at 1) for the rate year ending March 31, 2025. This equates to a total revenue increase of 13.9 percent for KEDNY and 11.5 percent KEDLI, respectively. If the Commission adopts a RAM to begin on June 1, 2024, being recovered in a surcharge, assuming a 2.5 percent RAM cap, it is essentially like increasing delivery rates by an additional $24.2 million for KEDNY and $45.0 million for KEDLI, just two months after new rates go in effect, which is not in the interest of ratepayers. The RAM values for KEDNY and KEDLI were provided by the Companies in response to Staff's IR 433, which is attached as Exhibit__(UIU-RAM-1).

Q. Does this conclude your rebuttal testimony?

A. Yes.